

— EDITION 06

Interchange in the Age of Autonomy

Visa and Mastercard generated \$100B+ in swipe fees on human friction. But AI agents don't care about airline miles or cash-back rewards.

A 6-part breakdown

SWIPE >>>>

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The Vulnerability of the Card Networks.

Traditional credit card infrastructure is structurally optimized for consumers who can be swayed by travel perks, premium metal cards, and fraud protection on delayed shipping.

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Why 2.5% Interchange Kills Machine Transacting.

If an AI agent makes 10,000 micro-transactions a day for small compute tasks, a standard percentage-based interchange fee plus fixed cross-border markups makes the unit economics completely unviable.

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The Agentic Preference: Real-Time Rails.

Software agents prefer payment channels that feature instant settlement, near-zero cost per transaction, and programmable execution out-of-the-box.

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| How Card Networks Are Pivoting.

Visa and Mastercard are not sitting still. They are aggressively pushing tokenized commerce frameworks and digital token credentials to secure machine endpoints before they shift elsewhere.

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The Settlement War: FedNow vs. Base/USDC.

The ultimate battle for agentic commerce settlement is being fought between domestic bank-driven real-time networks and global, public blockchain-native stablecoin rails.

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Save This: Why Machine Rails Beat Swipe Fees.

1) 2.5% + fixed fees kill 10,000 daily micro-transactions. 2) Agents can't be swayed by points or perks. 3) They optimize for instant settlement, near-zero cost, programmability. 4) The networks' defense: tokenized credentials. 5) Watch the settlement war: *real-time rails vs stablecoins*.

— THE TAKEAWAY

Cards or rails?

Tell me where machine volume settles — comments are open. Repost to share it, and follow for daily breakdowns of the agentic payments stack.

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